Vertex Energy plc
Annual Report FY2022

Sector: Renewable Energy. All figures in US dollars. Fiscal year ends 31 March 2022. This is a synthetic document created for an educational capstone project.

Chairman's Letter to Shareholders

Dear shareholders, FY2022 was a year of disciplined execution for Vertex Energy plc. Revenue for FY2022 was $1,500.0 million. Net income for FY2022 was $292.0 million and earnings per share were $2.92. The Board has recommended a dividend of $1.17 per share.

Our strategy for the coming year focuses on adding 600 MW of solar capacity, scaling battery storage and refinancing long-term debt. We remain committed to transparent reporting, prudent capital allocation and sustainable long-term value creation.

Management Discussion and Analysis

Gross profit for FY2022 was $629.9 million, giving a gross margin of 42.0%. Operating expenses were $193.6 million and operating income was $436.4 million. EBITDA for FY2022 was $502.1 million.

Segment performance: Solar Generation contributed $376.5 million; Wind Generation contributed $470.3 million; Energy Storage contributed $653.1 million.

Liquidity and Capital Resources

Cash and cash equivalents at year end were $195.6 million. Net cash from operating activities was $382.1 million and capital expenditure was $130.9 million, resulting in free cash flow of $251.2 million. Total current assets were $435.8 million against total current liabilities of $226.8 million.

Total assets were $1,883.6 million, total liabilities were $1,017.9 million and shareholders' equity was $865.7 million.

Principal Risks and Uncertainties

• Changes in government renewable-energy subsidies could reduce project returns.

• Higher interest rates increase the cost of financing new capacity.

• Weather variability affects generation volumes and revenue.

• Supply-chain constraints on solar panels and turbine components.

Outlook

For FY2023, management expects revenue growth of 3% to 9%, supported by adding 600 MW of solar capacity, scaling battery storage and refinancing long-term debt. Guidance assumes stable macroeconomic conditions.

Consolidated Income Statement

Line item ($ million)	FY2022
Revenue	1,500.0
Cost of revenue	870.1
Gross profit	629.9
Operating expenses	193.6
Operating income (EBIT)	436.4
Depreciation & amortisation	65.7
EBITDA	502.1
Interest expense	47.1
Tax expense	97.3
Net income	292.0

Consolidated Balance Sheet

Line item ($ million)	FY2022
Cash and cash equivalents	195.6
Total current assets	435.8
Total assets	1,883.6
Total current liabilities	226.8
Long-term debt	718.7
Total liabilities	1,017.9
Shareholders' equity	865.7

Consolidated Cash Flow Statement

Line item ($ million)	FY2022
Net cash from operating activities	382.1
Capital expenditure	130.9
Free cash flow	251.2